Note 8. Income Taxes

Under the liability method of accounting for income taxes specified by Statement of Financial Accounting Standards No. 109 "Accounting for Income Taxes," the provision for income tax expense is the sum of income taxes currently payable and deferred income taxes. Currently payable income taxes represents the amounts expected to be reported on the Company's income tax return, and deferred tax expense or benefit represents the change in deferred taxes. Deferred tax assets and liabilities are determined based on the difference between the financial statement and tax basis of assets and liabilities as measured by the enacted tax rates that will be in effect when these differences reverse.

Tax Expense. Income tax provision (benefit) attributable to continuing operations consists of the following components (in millions):

	2002	2001	2000
Current			
Federal	$ (15.3)	$ (26.6)	$ (30.6)
State and local	0.4	(1.1)	(0.2)
Foreign withholding taxes	--	0.1	0.2
Total current	(14.9)	(27.6)	(30.6)
Deferred			
Federal	20.8	29.5	23.4
State and local	1.0	0.9	(0.3)
Total deferred	21.8	30.4	23.1
Total income tax provision (benefit)	$ 6.9	$ 2.8	$ (7.5)

The federal and state deferred tax liabilities (assets) attributable to continuing operations at December 31 are as follows (in millions):

	2002	2001	2000
Liabilities:			
Depreciation	$ 409.5	$ 380.7	$ 351.0
Other, net	--	10.0	6.3
Gross deferred tax liabilities	409.5	390.7	357.3
Assets:			
NOL and AMT credit carryovers	(3.4)	(3.4)	(8.8)
Book reserves not currently deductible for tax	(26.8)	(30.0)	(22.3)
Vacation accrual	(2.8)	(3.1)	(2.5)
Other, net	(2.4)	--	(0.8)
Gross deferred tax assets	(35.4)	(36.5)	(34.4)
Net deferred tax liability	$ 374.1	$ 354.2	$ 322.9

Based upon the Company's history of operating income and its expectations for the future, management has determined that operating income of the Company will, more likely than not, be sufficient to recognize fully the gross deferred tax assets set forth above.

Tax Rates. Differences between the Company's effective income tax rates applicable to continuing operations and the U.S. federal income tax statutory rates of 35% are as follows (in millions):

	2002	2001	2000
Income tax provision using the Statutory rate in effect	$ 21.4	$ 11.9	$ 3.2
Tax effect of			
Earnings of equity investees	(15.0)	(9.4)	(6.6)
Other, net	(0.9)	0.4	(3.8)
Federal income tax provision (benefit)	5.5	2.9	(7.2)
State and local income tax provision (benefit)	1.4	(0.2)	(0.5)
Foreign withholding taxes	--	0.1	0.2
Total	$ 6.9	$ 2.8	$ (7.5)
Effective tax rate	11.3%	8.3%	(82.5)%

Temporary Difference Attributable to Grupo TFM Investment. At December 31, 2002, the Company's book basis exceeded the tax basis of its investment in Grupo TFM by $79.4 million. The Company has not provided a deferred income tax liability for the income taxes, if any, which might become payable on the realization of this basis difference because the Company intends to indefinitely reinvest in Grupo TFM the financial statement earnings which gave rise to the basis differential. Moreover, the Company has no other plans to realize this basis differential by a sale of its investment in Grupo TFM. If the Company were to realize this basis difference in the future by a receipt of dividends or the sale of its interest in Grupo TFM, as of December 31, 2002 the Company would incur gross federal income taxes of $27.8 million, which might be partially or fully offset by Mexican income taxes and could be available to reduce federal income taxes at such time.

Tax Carryovers. At December 31, 2000, the Company had $3.4 million of alternative minimum tax credit carryover generated by the MidSouth Railroad ("MidSouth") prior to its acquisition by the Company. This was fully utilized on the 2000 tax return filed in 2001. The amount of federal net operating loss (NOL) carryover generated by MidSouth and Gateway Western prior to acquisition by the Company was $67.8 million, of which $57.6 million was utilized in pre-2000 years. The Company utilized approximately $1.5 million of these NOL's in 2000, leaving approximately $8.7 million available for carryforward at December 31, 2002 with expiration dates beginning in 2008. The use of preacquisition net operating losses and tax credit carryovers is subject to limitations imposed by the Internal Revenue Code. The Company does not anticipate that these limitations will affect utilization of the carryovers prior to their expiration. Additionally, in 2002 and 2001, the Company generated net operating losses. These NOL's were carried back to 2000 and 1999 and the applicable tax returns have been amended.

Tax Examinations. The IRS is currently in the process of examining the consolidated federal income tax returns for the years 1993 through 1996. For years prior to 1993, the statute of limitations has closed. In addition, other taxing authorities are currently examining the years 1994 through 1999 and have proposed additional tax assessments for which the Company believes it has recorded adequate reserves. Since most of these asserted tax deficiencies represent temporary differences, subsequent payments of taxes will not require additional charges to income tax expense. In addition, accruals have been made for interest (net of tax benefit) for estimated settlement of the proposed tax assessments. Thus, management believes that final settlement of these matters will not have a material adverse effect on the Company's consolidated results of operations, financial condition, or cash flows.

Stilwell Tax Dispute
On November 19, 2002, Stilwell, now Janus Capital Group Inc., filed a Statement of Claim against KCS with the American Arbitration Association. This claim involves the entitlement to compensation expense deductions for federal income tax purposes which are associated with the exercise of certain stock options issued by Stilwell (the "Substituted Options") in connection with the Spin-off of Stilwell from KCS on July 12, 2000. Stilwell alleges that upon exercise of a

Substituted Option, Stilwell is entitled to the associated compensation expense deductions. Stilwell bases its claim on a letter, dated August 17, 1999, addressed to Landon H. Rowland, Chairman, President and Chief Executive Officer of Kansas City Southern Industries, Inc. (the "Letter"), purporting to allow Stilwell to claim such deductions. The Letter was signed by the Vice President and Tax Counsel of Stilwell, who was also at the time the Senior Assistant Vice President and Tax Counsel of KCS, and by Landon H. Rowland, currently a director of KCS and the non-executive Chairman of Janus Capital Group Inc., who was at that time a director and officer of both Stilwell and KCS.

Stilwell seeks a declaratory award and/or injunction ordering KCS to file and amend its tax returns for the tax year 2000 and subsequent years to reflect that KCS does not claim the associated compensation expense deductions and to indemnify Stilwell against any related taxes imposed upon Stilwell, which allegedly has taken, and plans to take, such deductions. On December 20, 2002, KCS filed an Objection to Stilwell's Demand for Arbitration and Motion to Dismiss. KCS disputes the validity and enforceability of the Letter. KCS asserts, among other things, that a Private Letter Ruling issued by the Internal Revenue Service on July 9, 1999 provides that KCS subsidiaries are entitled to compensation expense deductions upon exercise of Substituted Options by their employees.

KCS has answered that the claims of Stilwell are without merit and intends to vigorously defend against them. Given the early stage of the proceeding, KCS is unable to predict the outcome, but does not expect this matter to result in any material adverse financial consequences to KCS's net income in the event, which it regards as unlikely, that it would not prevail.